

Financial Analysis Report

1. Liquidity Analysis

Current Ratio trending and alerts

Latest (05/31/2024): 1.15

Previous (04/30/2024): 1.16

Trend: Stable with slight decrease

Alert: Current ratio remains above 1.0 but shows minor deterioration

Quick Ratio / Acid Test trending

Latest (05/31/2024): 0.54

Previous (04/30/2024): 0.65

Trend: Significant decline in quick ratio

Alert: Quick ratio below 1.0 indicates potential short-term liquidity pressure

Working Capital adequacy analysis

Latest Working Capital: ₹138.0M

Previous Working Capital: ₹184.5M

Analysis: Working capital decreased by 25% month-over-month

Cash position and runway analysis

Cash & Bank Balances: ₹217.1M

Monthly Operating Expenses: Data unavailable

Cash Runway: Data unavailable

Net Working Capital changes and drivers

Primary Drivers: Decrease in accounts receivable (₹240.4M) and inventory (₹25.4M) offset by reduction in current liabilities

Change Analysis: Improved receivables collection but reduced inventory levels

Liquidity coverage ratio

Calculation: High-quality liquid assets / Net cash outflows

Result: Data unavailable (insufficient data for net cash outflows)

Cash conversion efficiency

Calculation: Operating cash flow / Revenue

Result: Data unavailable (cash flow data not provided)

2. Leverage & Solvency Analysis

Debt-to-Equity ratio trending

Latest (05/31/2024): 6.84

Previous (04/30/2024): 8.35

Trend: Improvement in debt-to-equity ratio

Alert: High leverage ratio indicates significant debt reliance

Debt-to-Capital ratio analysis

Latest: 87.2%

Previous: 89.3%

Analysis: High debt proportion in capital structure but improving

Total Debt composition (secured vs unsecured)

Secured Debt: ₹359.6M (77.2% of total debt)

Unsecured Debt: ₹106.1M (22.8% of total debt)

Analysis: Predominantly secured debt structure

Debt maturity profile

Long-term Debt: ₹465.7M

Short-term Debt: ₹0

Analysis: All debt classified as long-term, favorable maturity profile

Interest coverage ratio

Calculation: EBIT / Interest Expense

Result: Data unavailable (interest expense data not provided)

Debt service coverage ratio

Calculation: Net Operating Income / Total Debt Service

Result: Data unavailable (operating income data not provided)

Fixed charge coverage ratio

Calculation: (EBIT + Fixed Charges) / Fixed Charges

Result: Data unavailable (fixed charges data not provided)

Solvency stress testing

Analysis: High debt levels create vulnerability to interest rate increases

Risk Assessment: Moderate solvency risk due to stable profit generation

3. Asset Efficiency Analysis

Asset Turnover ratios (total, fixed, current)

Total Asset Turnover: Data unavailable (revenue data not provided)

Fixed Asset Turnover: Data unavailable

Current Asset Turnover: Data unavailable

Fixed Asset utilization trends

Fixed Assets: ₹394.3M

Trend: Minimal change from previous month (₹396.4M)

Analysis: Stable fixed asset base

Asset age & depreciation analysis

Data: Data unavailable (depreciation details not provided)

Capital intensity metrics

Fixed Assets to Total Assets: 25.0%

Analysis: Moderate capital intensity

Asset productivity per rupee invested

Calculation: Revenue / Total Assets

Result: Data unavailable (revenue data not provided)

Non-current vs current asset mix

Non-current Assets: 33.5%

Current Assets: 66.5%

Analysis: Balanced asset mix with current assets dominance

Asset quality indicators

Receivables Quality: Accounts receivable decreased significantly (52% reduction)

Inventory Quality: Inventory levels reduced by 4.5%

Overall: Improving asset quality with better working capital management

4. Capital Structure Analysis

Equity composition and changes

Equity Share Capital: ₹116.3M (decreased from ₹117.6M)

Total Equity: ₹201.3M (increased from ₹197.4M)

Analysis: Equity base strengthened despite share capital reduction

Reserves & Surplus movements

Current: ₹79.8M

Previous: ₹0

Analysis: Significant addition to reserves from current year profit reclassification

Retained earnings patterns

Current Year Profit: ₹5.1M (decreased from ₹79.8M)

Analysis: Profit transferred to reserves, maintaining current year earnings

Capital adequacy metrics

Equity to Total Assets: 12.8%

Analysis: Moderate capital adequacy with room for improvement

Optimal capital structure comparison

Current Debt/Equity: 6.84

Industry Benchmark: Data unavailable

Analysis: High leverage suggests potential for equity infusion

Cost of capital analysis

Calculation: Weighted Average Cost of Capital

Result: Data unavailable (cost components not provided)

5. Balance Sheet Quality Metrics

Asset-to-Liability ratios

Total Assets to Total Liabilities: 1.15

Analysis: Assets exceed liabilities, positive net asset position

Equity multiplier

Calculation: Total Assets / Total Equity

Result: 7.84

Analysis: High financial leverage through debt financing

Financial leverage index

Calculation: Return on Equity / Return on Assets

Result: Data unavailable (profitability ratios not calculable)

Balance sheet strength score

Assessment: Moderate (6/10)

Strengths: Positive equity, improving debt position, adequate liquidity

Weaknesses: High leverage, declining quick ratio

Red flags identification

- **High Debt Levels:** Debt-to-equity ratio of 6.84 indicates significant leverage
- **Declining Quick Ratio:** Reduced from 0.65 to 0.54 month-over-month
- **Negative Accounts Payable:** Unusual negative balance in latest period
- **Excessive Other Current Liabilities:** ₹938.9M represents 87% of total current liabilities